

Perspective from...



Preventing the Double Death Tax Trap

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Transferring wealth from one generation to another as part of an estate plan is a significant event for families. In addition to grieving the passing of a loved one, families have to contend with the stress of ensuring a smooth transfer of wealth under a Will, from the deceased to their surviving spouse or children. At such a sensitive time, the last thing the family needs is an unnecessary tax bill.

In this article, I explore the unexpected tax trap that can arise in ‘double death’ situations, and what families can do to prevent it from springing.

Tax treatment on death

Currently, when an individual dies, the assets they own at the time of their passing are transferred to their beneficiaries effectively tax-free. The beneficiaries inherit the deceased’s cost base of the assets passing to them. If they assets were acquired before 19 September 1985 (i.e. prior to the introduction of Capital Gains Tax [CGT]), beneficiaries are granted a cost base equal to the market value of that asset at the date of death. For simplicity, we refer to this as a CGT rollover.

If the asset was the deceased’s main residence, this concessional status can be maintained - depending on who inherits the property and whether it continues to be used as a main residence.

The CGT rollover is a commonsense policy – it defers tax until the asset is sold, when cash is available to fund the liability. Without this concessional treatment, a tax liability would arise on the passing of the asset from the deceased to the beneficiaries. This tax liability would need to be funded by the beneficiaries, often requiring the asset to be sold. For some asset classes that aren’t easily saleable, this can be problematic.

Unfortunately, there are situations where the CGT rollover on death is not available. One example is the ‘double death’ tax.

What is ‘double death’ tax?

If a beneficiary of a deceased estate passes away before probate is granted to the first deceased estate, CGT can apply at the time the asset passes from the second deceased to the beneficiaries under their Will. This CGT would **not** have been payable if probate had been granted **before** the beneficiary of the first deceased estate passed away.

I will use the following example to illustrate the challenge.

The Holiday House Example

Harry is married to Jenna and they have an adult daughter (Lilly). Harry also has an adult son (Peter) from his first marriage.

In 1990, Harry purchased a family holiday home in Sorrento, Victoria for \$100,000. Over time, the holiday home increased in value to \$1m.

Unfortunately, Harry became ill and passed away suddenly. Under his Will, Harry bequeathed the holiday home to Jenna and his remaining assets (including cash) to Peter.

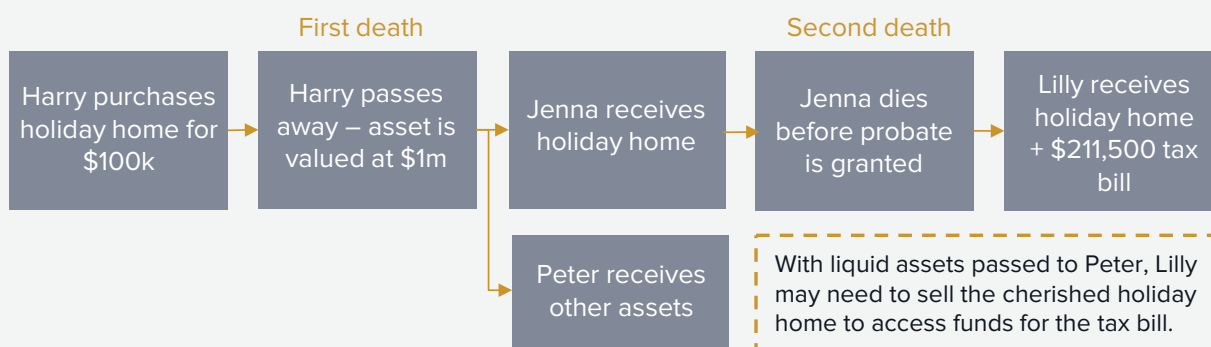
Two months later, before probate could be obtained on Harry's Will, Jenna also passes away.

Under Jenna's Will, the house passes to Lilly. She is appointed as Executor of Jenna's Estate.

When the holiday home passes from Jenna's estate to Lilly, Jenna's estate will be liable to pay tax of up to \$211,500 on the capital gain (that is, tax on the difference between Harry's cost base of \$100,000 and the market value of \$1m).

With Harry's liquid assets passing to Peter, Lilly must either come up with \$211,500 to pay the tax bill, or sell the home to generate sufficient cash.

The 'double death' tax trap – how it works



What causes this tax issue?

The reason why Jenna's Estate/Lilly is trapped with this tax problem is because under a tax ruling issued in 1990, the Commissioner's view is that the CGT rollover relief only applies if Jenna 'owned' the holiday home at the time of her passing. As probate hadn't yet been granted on Harry's Will when Jenna passed away, Jenna is not regarded as the owner of the holiday home at that time. Accordingly, the 'ordinary' CGT disposal rules apply.

If probate had been granted to Jenna by the time of her death, the CGT rollover treatment would have been available on the transfer of the holiday home to Lilly under Jenna's Will.

Other examples

While these examples relate to a holiday home, the same issue can arise for other assets, such as Harry & Jenna's main residence. In fact, in this scenario, Jenna's Estate could potentially end up paying tax on a gain derived on the property she lived in with Harry as their main residence.

What if Harry had purchased the holiday home before the introduction of CGT in September 1985. Would Jenna's estate now be liable for tax on a property Harry had owned pre-CGT?

What if Harry and Jenna lived overseas at the time of their passing and Lilly lived in Australia? Lilly could potentially be subject to tax of up to \$475,000 on her inheritance of the holiday home.

What can be done?

In some scenarios, it may be possible to prevent or manage the double death tax trap under a range of strategies, including the use of testamentary trusts, transferring assets outside of a Will or by holding valuable assets in discretionary trusts rather than personally.

Unfortunately, it's rarely possible to predict when a double death situation may arise. That's why careful estate planning and proactive management are essential to reduce the risk of triggering an unexpected tax liability.

Mutual Trust works with families to carefully review and adjust estate plans to appropriately manage tax risks such as the double death scenario. If you are preparing or reviewing your estate plans and would like to explore whether any of these strategies are appropriate to your circumstances, please contact your Relationship Manager.

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